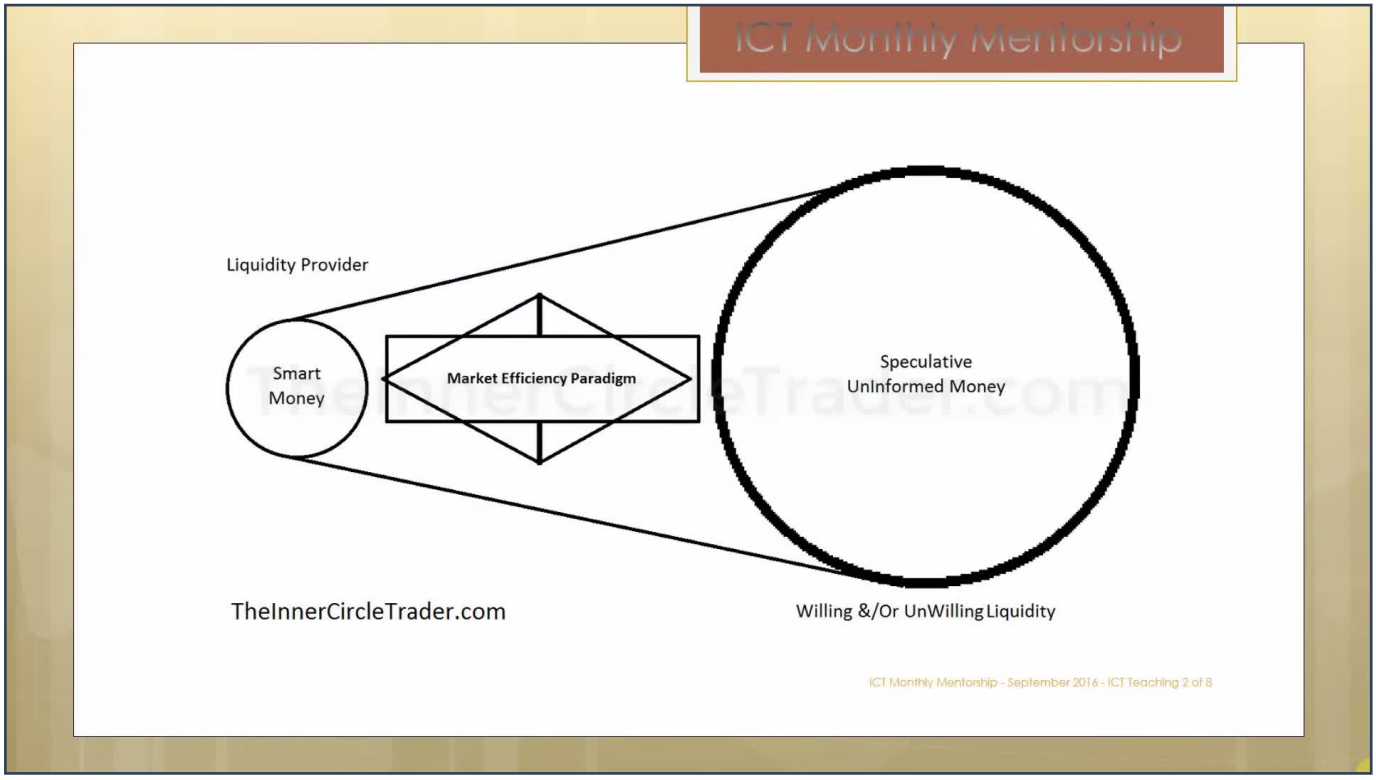
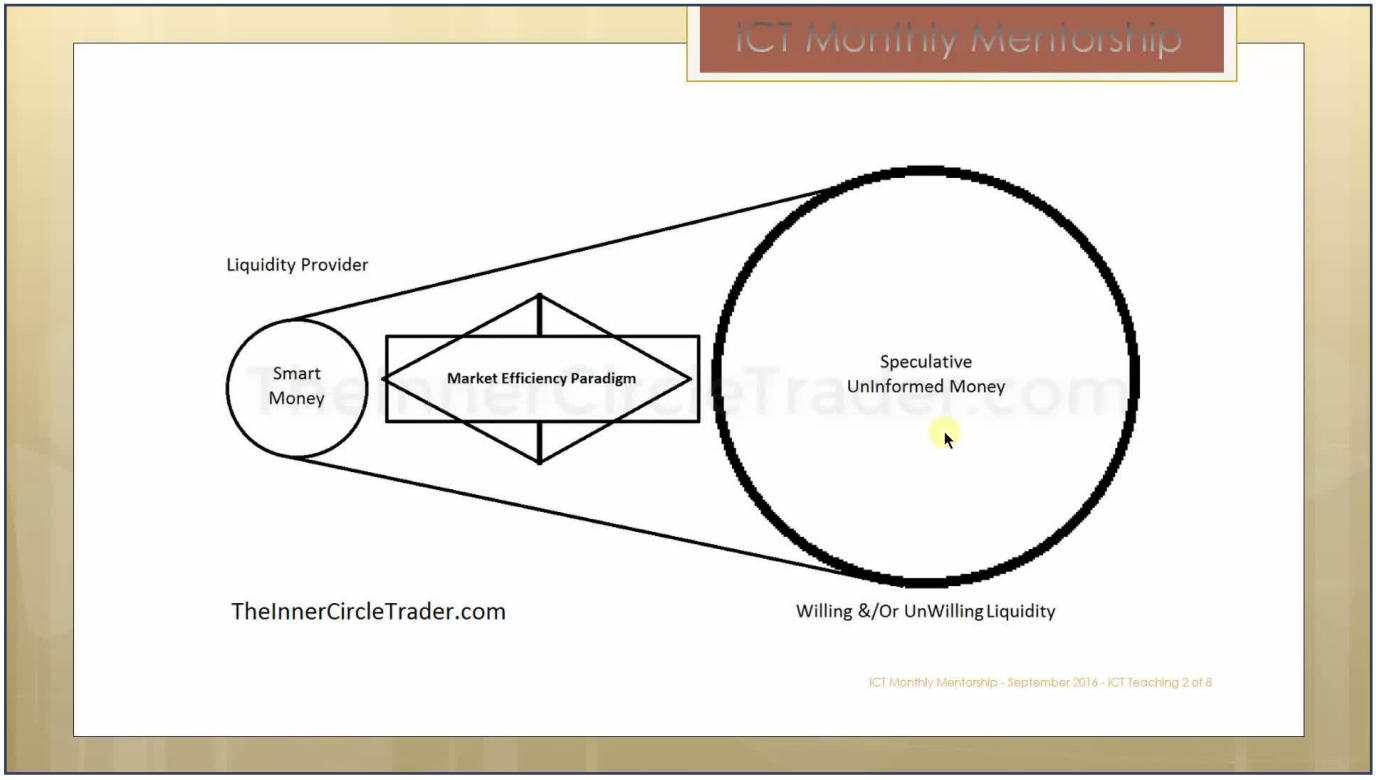
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 1 - HOW MARKET MAKERS CONDITION THE MARKET



This is the second teaching of a series of eight for September 2016. We're revisiting the market efficiency paradigm. As new traders, we are part of a larger group of uninformed money. Invariably, we will come to understand that there is a smart money group of traders. When I first started trading, I didn't know anything about smart money; I just knew markets could be profitable.



As new investors, traders, and speculators, we may not understand the existence of a smart money entity. The larger populace of retail-minded traders believes that our sheer vastness is the driver of the marketplace. We tend to think of ourselves as the drive axle, making markets go up and down. This is a facade: it's the facade of supply and demand, trend lines, and moving average crossovers driving price. This facade is perpetuated in books, seminars, webinars, and by gurus. I once believed indicators drove price up and down and even taught about stochastic, RSI, and Williams %R, not realizing that if you're following momentum, you only need one indicator.

CONTRASTING RETAIL (UNINFORMED) AND SMART MONEY BEHAVIOR

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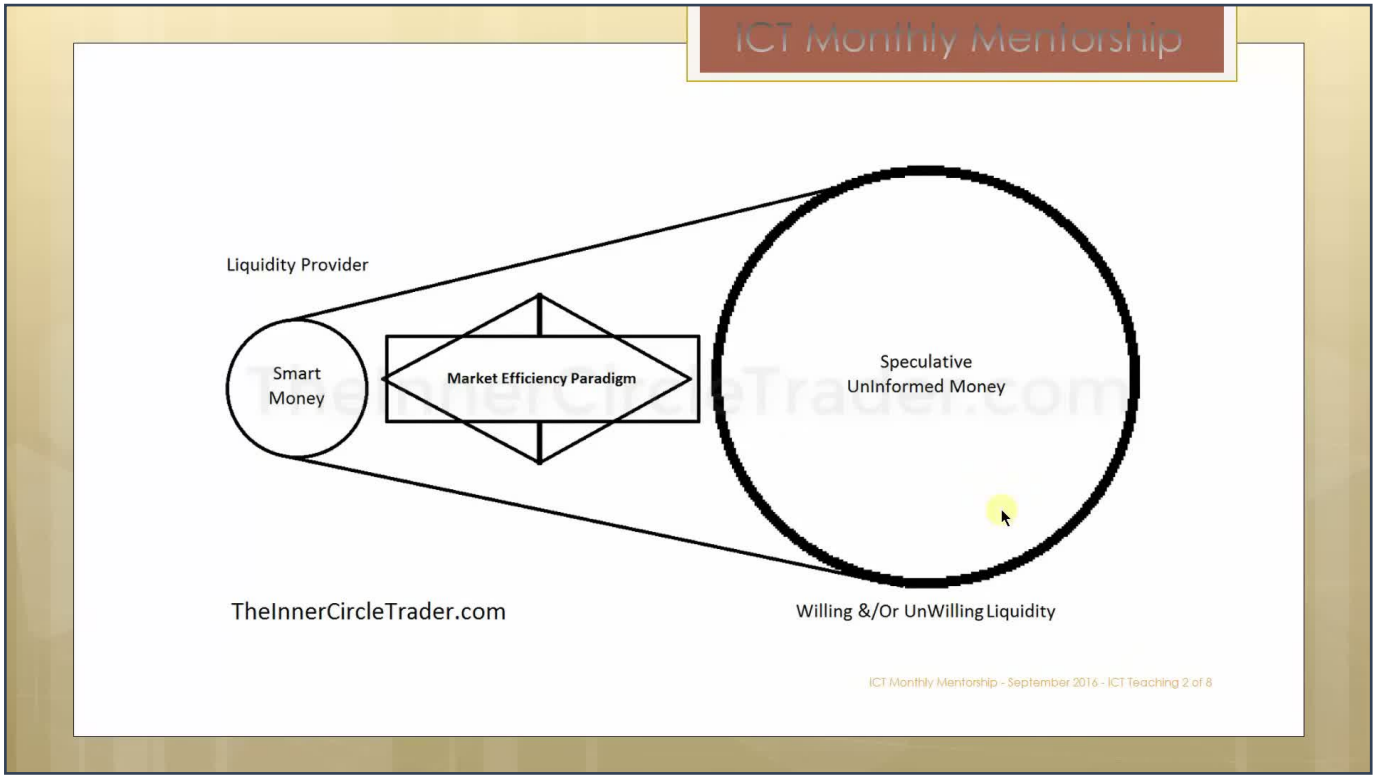
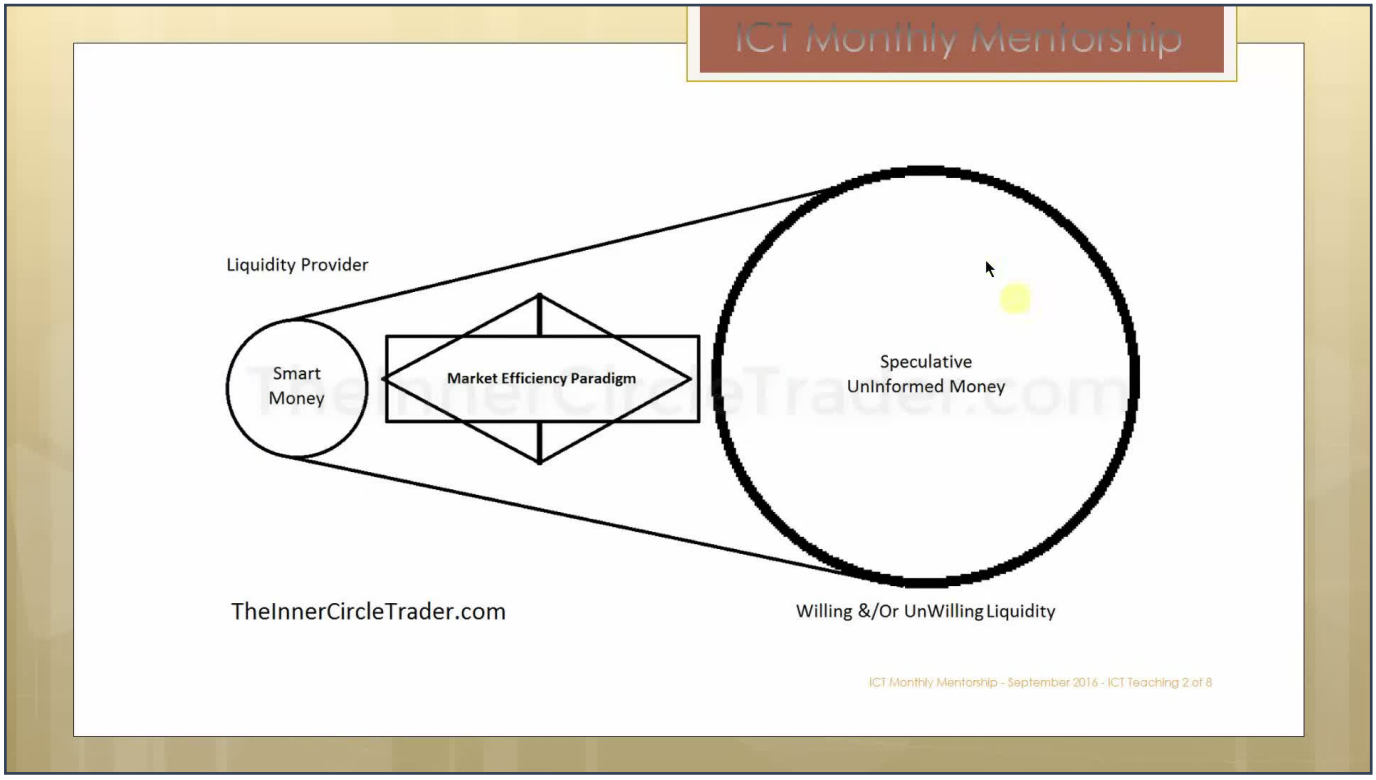


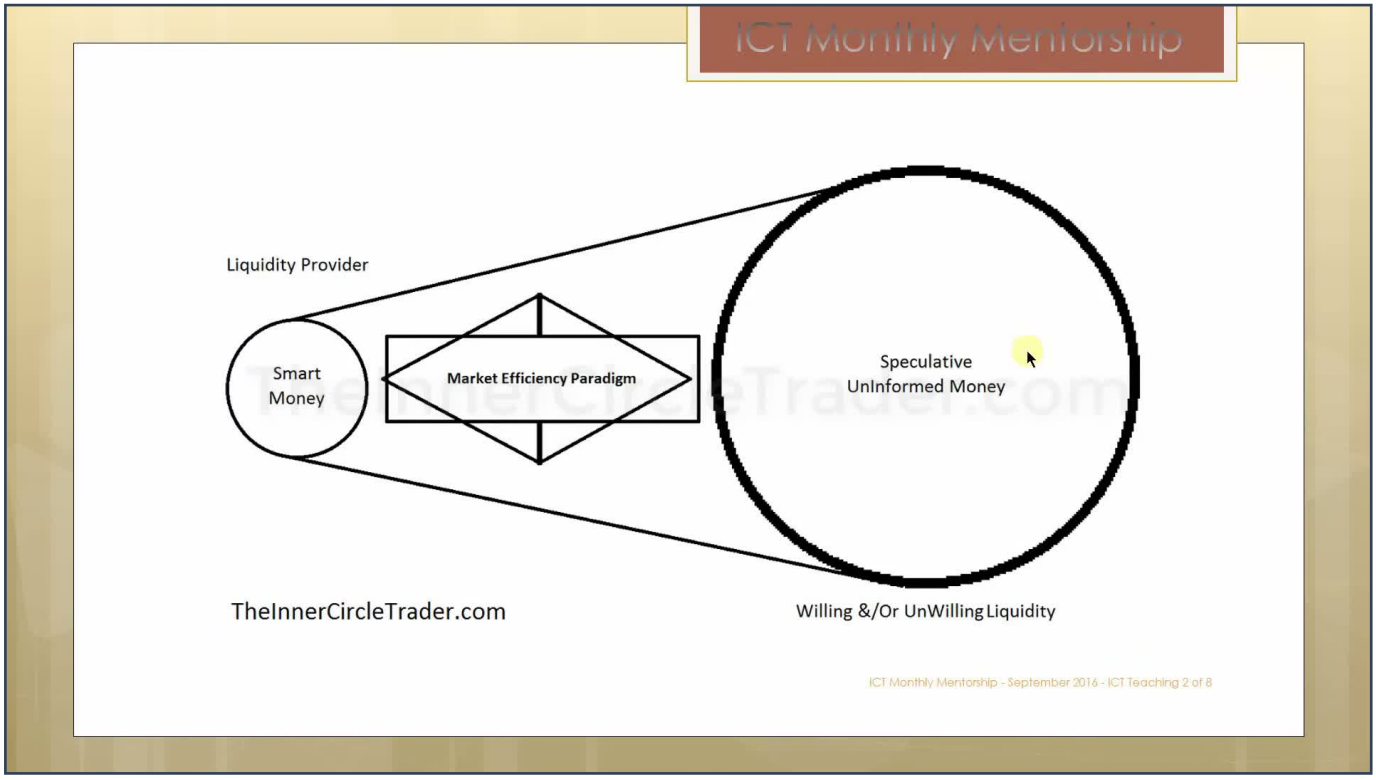
If anyone knows about being in the uninformed group, it's me. I learned more about the smart money group that doesn't like to draw too much attention to itself. Contrast that with everybody in retail: we all have Twitter accounts, MyFxBooks, Instagram, showing Lamborghinis, houses, cars, boats, yachts – everybody is 'living large' in the uninformed money group. Smart money is quietly just doing their thing.

- Smart Money: The banks. They are inside this small circle.

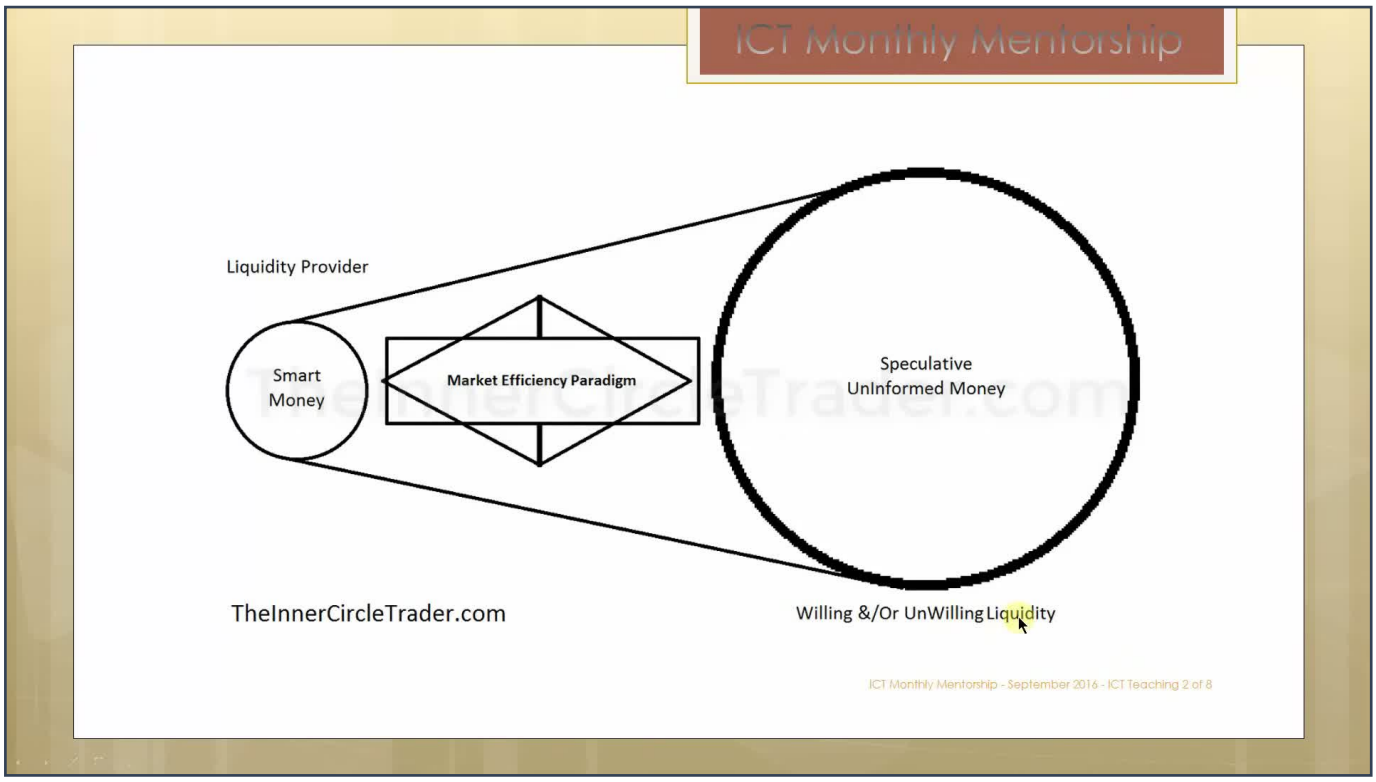
- Uninformed Money: Everybody on social media, retail accounts, gurus, and teachers selling services. This large populace of people thinks their vastness and size are controlling where price is driven due to their buying and selling pressure. This is a facade.



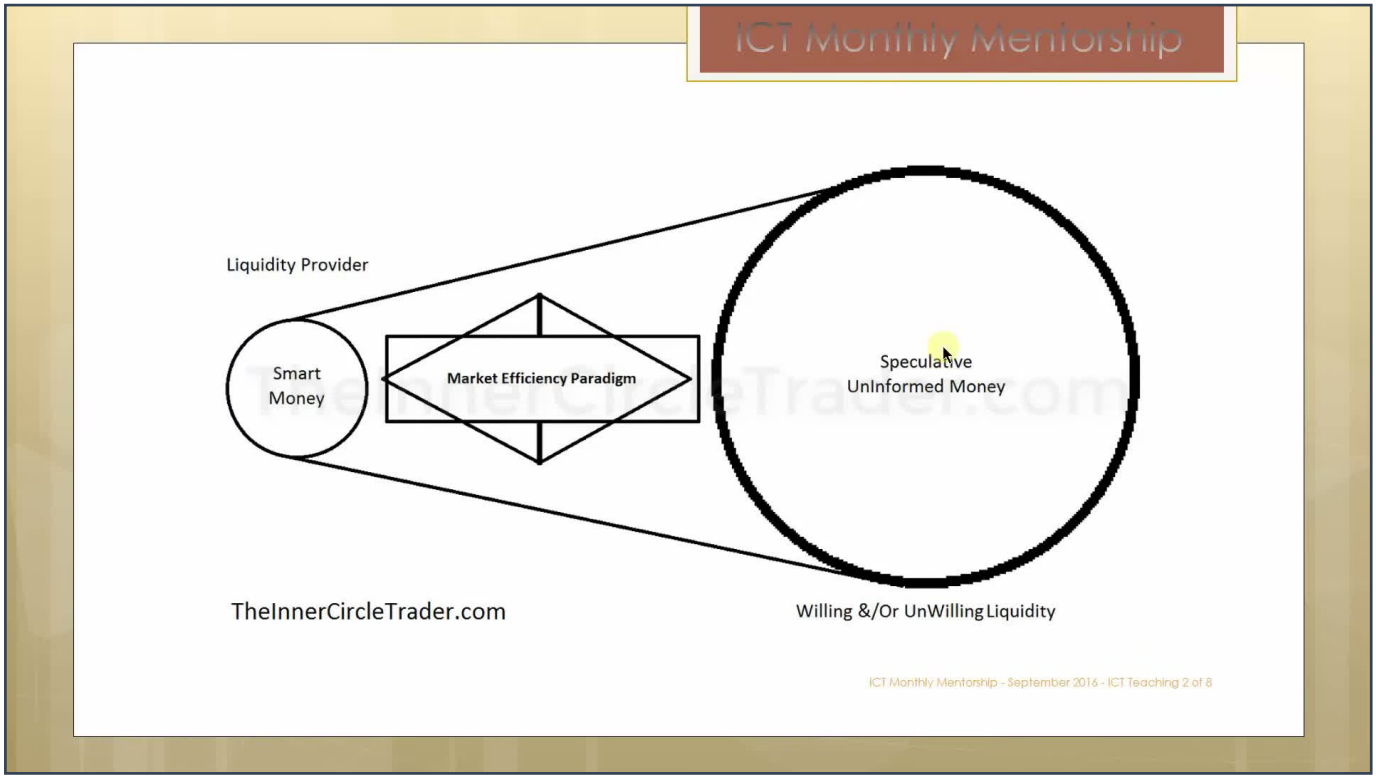
This huge populace of trading people in the retail realm is not that big, but we are led to believe we are huge, that we are giants pushing price around. We don't. In fact, it's this small group of traders that influences this entire mechanism we call the markets. This small group is actually the drive shaft; it's the actual motor spinning the whole price higher or lower, not the big circle of people. There has to be a paradigm shift. If you think the online group of traders, talking amongst themselves, makes price go up and down due to buying/selling interest or supply/demand, that's a facade. I'm here to tell you to put that to bed. I'm going to level everything you've ever imagined about the marketplace.



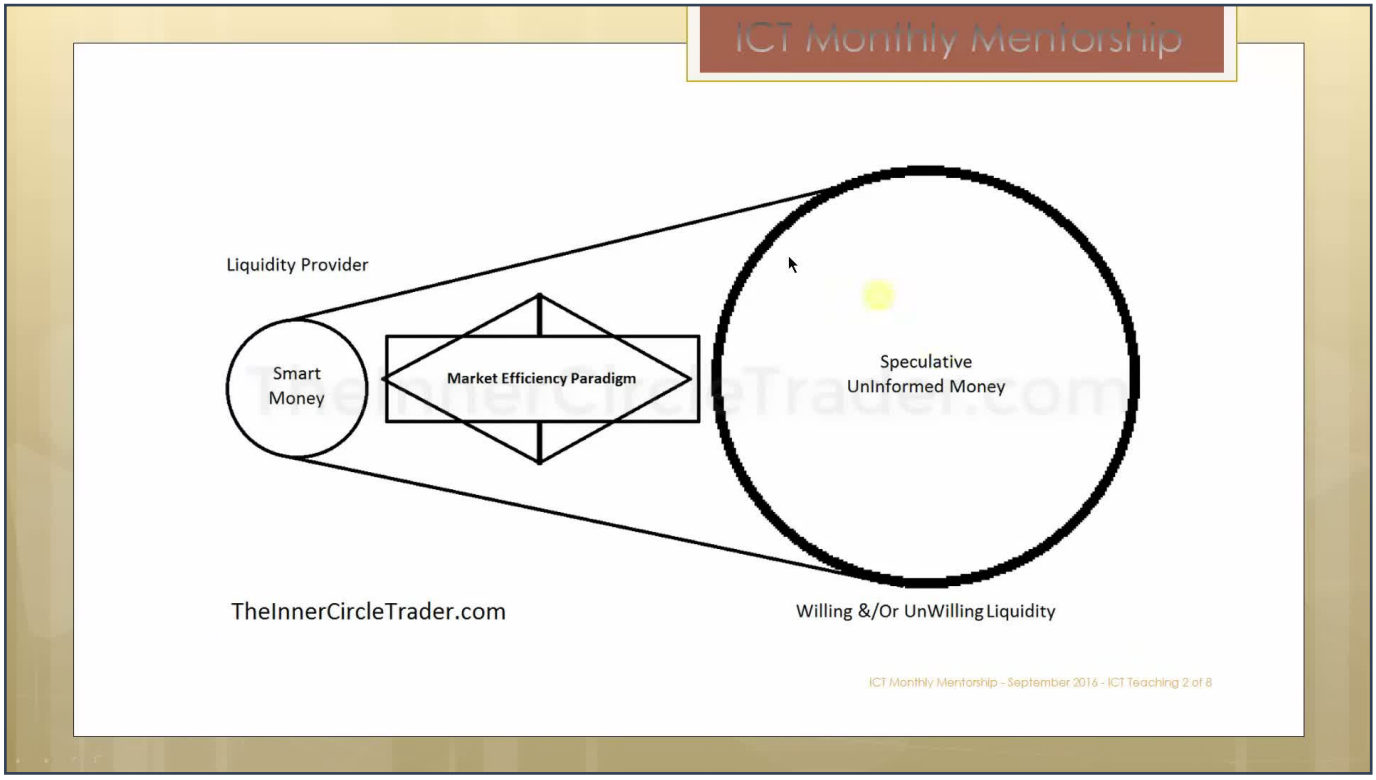
You need to leave the realm and thought processes of this retail circle and have a paradigm shift about how markets are efficient. They're not efficient for speculators; they're efficient for smart money. The banks drive price, whether you want to accept it or not. The sooner you understand and expect this, you'll realize price movements are not for your well-being, but for the banks' well-being. It's their business. They are the liquidity provider; everyone else provides liquidity.



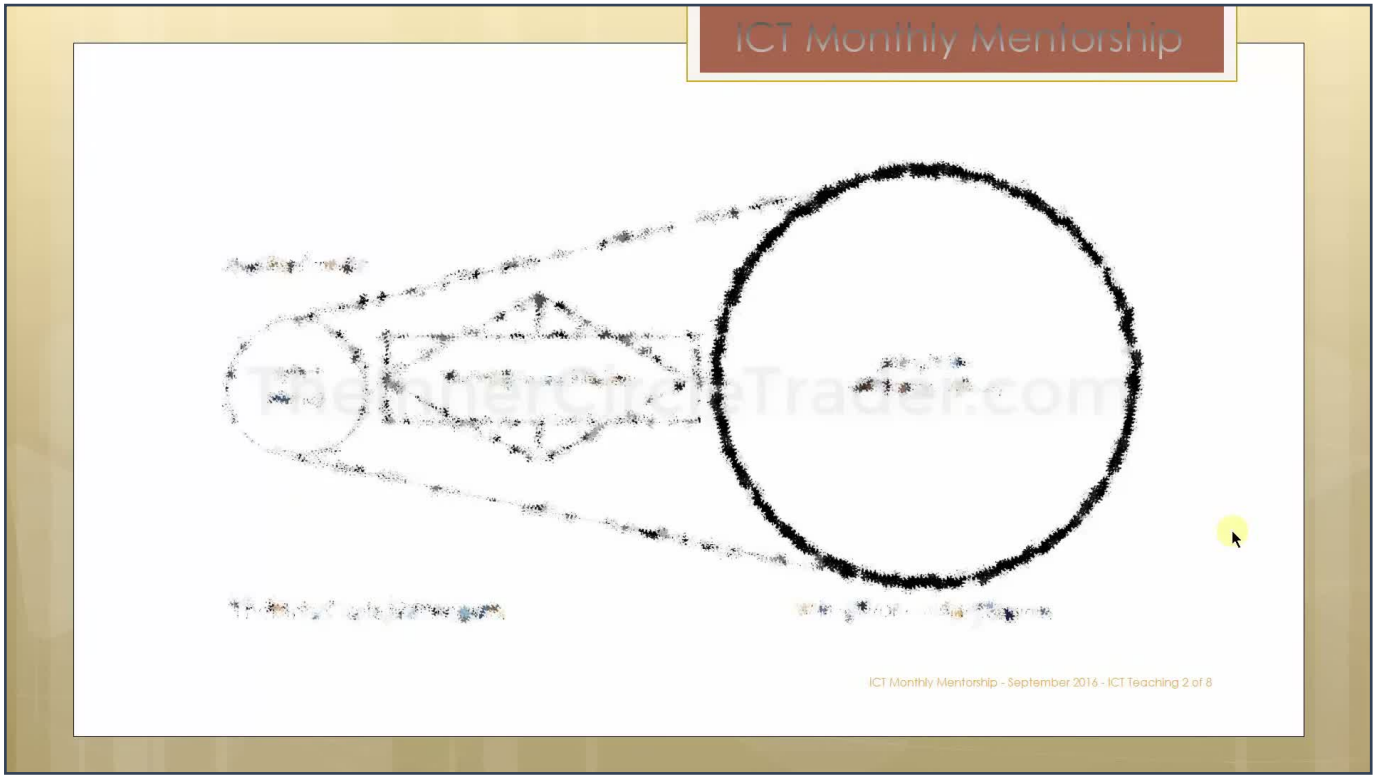
Are you a lamb or a lion? One of us is going to eat meat, and the other will stand there looking stupid, eating grass. I didn't want to be part of the herd once I understood where I was. I wanted to get out and live in that small area. For years, I quietly made money focusing on what this small group of traders did. Initially, I looked at retail traders with disdain, thinking I'd devour them. But then, hearing stories of people losing homes and marriages, it tugged on me. I didn't want to just be like the banks. In 2010, I bridged over and started revealing things. This mentorship will teach you a lot, but it's not meant for you to share on YouTube, blogs, Twitter, Instagram, or torrents. It's supposed to be between you and I. You're welcome to share this information with your children and family members to start a legacy, but don't make this common knowledge.



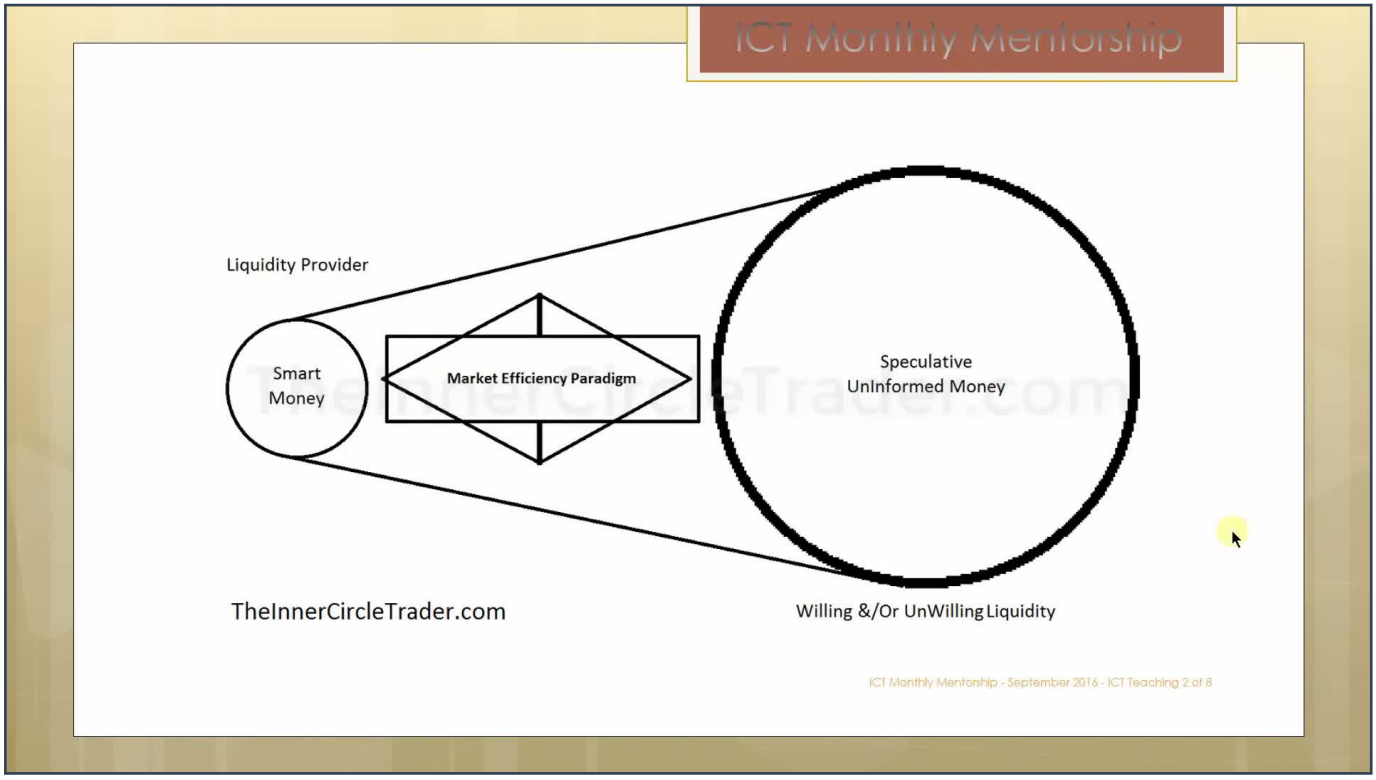
It's going to happen—some 'goobers' will take this stuff and make it accessible to everyone, feeling like a hero. But you're not doing yourself a favor. Let this stuff stay well hidden. You're paying for it, so appreciate it for what it is and don't share it. It's not going mainstream. This group, whoever can make it between October 1st and now, that's it. When we leave September and October, we're buttoning up all the free tutorial stuff and going right into the 'nut symbol' to get to the latter months.



When we come into the marketplace, we don't understand this. We think that the group we're part of, we are the market, we are the traders, pushing price up and down. But if you were honest with yourself, if you've traded at any time, you probably looked at the market and saw something like this: you knew something was going on, but you couldn't put it together. You see vague things take place, your stop gets run, it looked like it was going to go up but came all the way down, then went up. These things happen, and you can't figure it out. You know there's something to it. You've had the sensation that 'this is rigged, my brokers have to get me.' It's not really your broker; it's the interbank feed that drives price against the funds, and the brokers will expand the spread and knock you out.



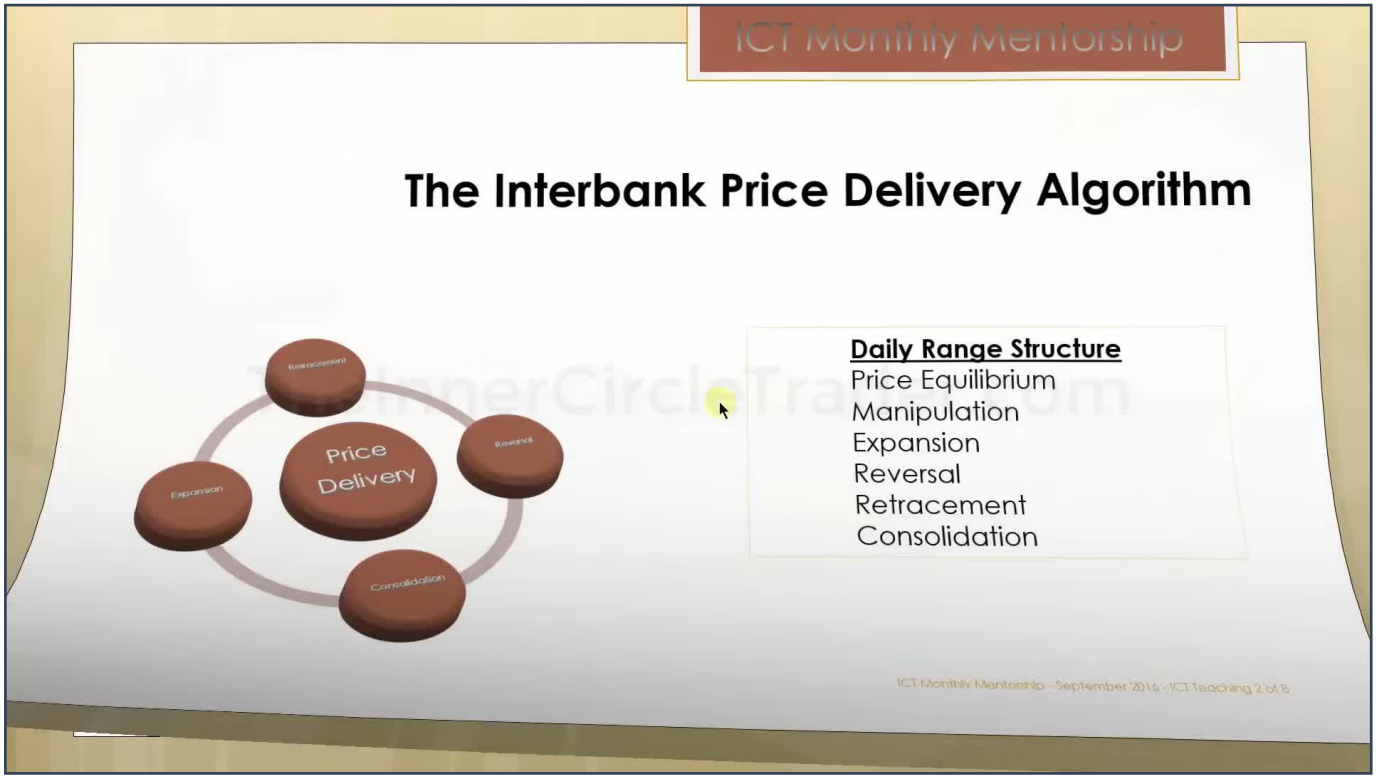
When you look at price action as a new trader without this exposure, you don't understand how the markets are driven and manipulated to every single minute detail. They are absolutely controlled. It's an AI, artificial intelligence, and you are not trading against a person anymore; it's a computer program that delivers price, and it knows human behavior because it's always been the same: fear and greed. When you looked at price before, you had a fuzzy picture about something going on behind the scenes but never really understood what it was, until you met me. Suddenly, there's clarity. Suddenly, you understand that something has been there all along. Now you can identify it, and more importantly, you understand how to track it and do the same thing it does. By default, you become a resident of the small circle.



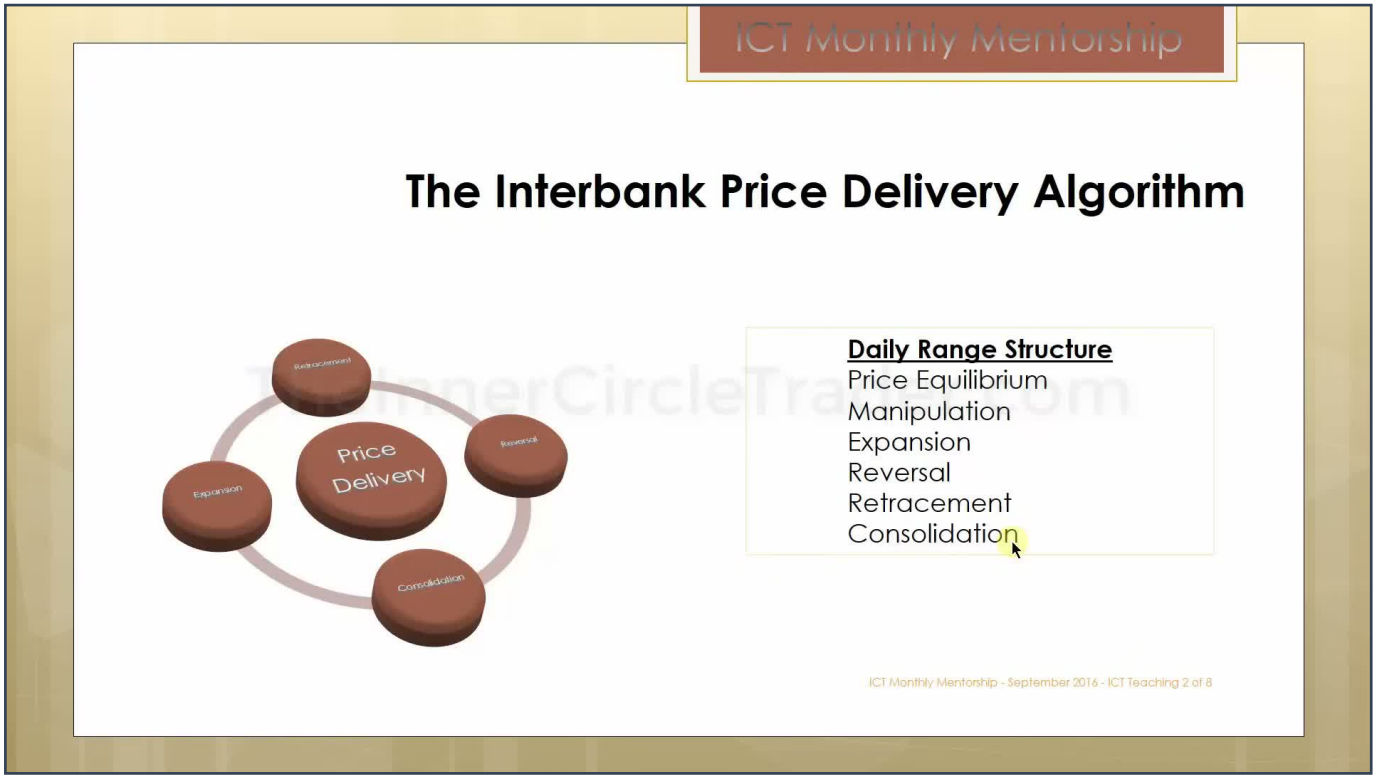
This small circle is the drive shaft that makes the markets go around; it's not the big populace of traders. It's the liquidity provider. So you need to be thinking like this small group: they're not trying to draw attention to themselves, not flashing things online. They're just quietly skinning people alive. You've been there, just as I have. You either stay in this business long enough to leave the uninformed group and come over here, or you sit in the middle, getting close to being there but getting bounced back. Some of you in this mentorship are in this little area right here, where you see signals and signs of a real entity of smart money in play, but you're not fully convinced to leave the uninformed group yet. You have too many convictions about your tools, indicators, pet guru, or cool buddy's website. It's just not enough. You have to be able to release all that stuff and just leave it all behind and join the smart money. Trust me, we're not serving cookies, but it's a way better lifestyle over here than it is over there.

In the first video, I gave you elements to a trade setup with two characteristics: context and framework around the trade. These refer back to institutional order flow. You have to be able to bridge the understanding of expansion, retracement, reversal, and consolidation and apply them respectively to order blocks, fair value gaps, liquidity voids, liquidity pools, stop runs, and equilibrium. What does that mean for us in the scope of price? How can we use these ideas and make them applicable to price? I know some of you are eager to learn long-term trading, but bear with us through these first couple months. I want to give you immediate feedback, and the way you get that is by using intraday study, because you get a lot of feedback in intraday action that is applicable to longer-term charts. I can't adequately teach long-term trading on a daily chart inside of 12 months because you're only looking at a scope of one year. But with intraday, it's like compressing years of data into just the 200-something days we'll be together.

Let's look at the daily range. Suddenly, expansion, retracement, reversal, and consolidation mean something. Every day starts with consolidation: the Asian range after midnight. There's a manipulation that takes place – that's expansion. It comes in the form of a Judas Swing. What is it doing? It's making the higher low in London – that's the London swing for a reversal, a run on stops. Then there is another expansion move down into the New York session. Then there's going to be another consolidation – that's the New York consolidation going into the 8 to 8:30 news swing, where there's going to be another injection of liquidity or a reversal. Then there'll be another expansion, and then we go into London close, which is another reversal condition. Then the market goes into consolidation for the rest of the day. So, we have a way of looking at these things and applying these concepts to the time of day and repeating characteristics.



Let's get back to the interbank price delivery algorithm. The daily range structure can be broken down and simplified. It starts with a price equilibrium – that's the Asian range. Then there's a manipulation, which is always going to come by way of some news event or driver, either at the time of the manipulation or just before it – that's the Judas Swing. Then we'll see a range expansion. After the higher low is formed, the range will start expanding; it'll go down into 5:00 in the morning New York time or go up into that time window, depending upon the daily direction. Let's use the perspective of a buy day. That means the Asian range had a small consolidation, and right after midnight New York time, there's a drop down in price – that's the manipulation, making the false move for the low. There's a range expansion, then it goes into the reversal – that's a classic London open scenario where it shoots down, runs the stops, and then it expands again. There's another range expansion into 5:00 in the morning New York time. Between 5:00 and 8:00 in the morning, in that time window, the market will go back into consolidation. Then it'll have a retracement between 8:00 and 8:30 in the morning New York time. Then it'll have either a reversal in the New York session or another expansion move. The range will expand and make the rest of the day, going up into 10:00 or 11:00 in the morning New York time, where it will have a reversal again – that's London close. Then the market will go into consolidation, ending the true day at 1900 on Forex Ltd's platform. If you follow along with the videos this month, you'll know exactly what I'm talking about. We can see the interbank price delivery algorithm on a daily basis by studying these events, and seeing it over a period of time, you'll know what is most likely to happen.



If we're looking at price delivery, and this is the model that comes by way of my understanding of how the interbank feeds price to everyone, we have to understand that it all starts with a consolidation. Nothing can happen until consolidation. Consolidation is when the market's quiet. Why is that important? Because that's when the orders are building up in the marketplace. The market makers will allow orders to build up above and below the range. The next stage is always expansion.

- It's not consolidation to retracement; it can't retrace if it hasn't moved anywhere.

- It can't go consolidation to reversal because it has to come out of the consolidation.

- When you see a consolidation or holding pattern, you have to think the next leg in price is going to be an explosive move or an impulse leg, an impulse price swing movement. You need to see movement.

- Determining that movement and its direction is relative to the conditions you're trading in. Once we're in the expansion stage, then you have a choice: it can retrace, come back to the order block it just left behind, recapitalize that, and then make another leg up or down relative to the direction it moved. OR, once it's moved into expansion, it can reverse. Once it reverses, there'll be another expansion, then it goes back to a consolidation.

- The main thing I want you to understand is that it never goes consolidation-retracement. It never does consolidation-reversal. It's always consolidation-expansion. From expansion, it goes either retracement or reversal. It does not do consolidation-expansion-consolidation. That does not happen. It does a consolidation-expansion, either retrace for another move into an order block and then recapitalize it and do the same direction it moved when it made an expansion, or it goes from expansion to reversal. When you understand this algorithm – the way it moves and operates – it's very generic, very systematic. It has only a

few options to go to, and they're time-sensitive, day-sensitive, and intermarket related.

When one market is moving really fast, if you understand the relationships like I'm going to teach you over a couple months, you'll know where the trade is setting up because one is being held and the other one is letting it run. This is the importance of knowing what the Euro Pound is doing if you're trading Fiber or Cable. All these things are going to blend together, and you'll know exactly how I'm doing these things internally and on the fly. I'm not measuring things, writing notes. I just know by looking at price what I should be seeing. You see it; I'm thinking out loud in the videos when I'm doing the live sessions with you all, aiming at your better understanding of price delivery. When you understand these things, by month 8 and 9 in the mentorship, you're going to be so strong at knowing what the next thing is going to happen in the price you're studying. You'll know all these four things. There are only certain processes that have to take place in a certain order. Like I said, it never goes consolidation-reversal. It never does consolidation and retracement. It goes consolidation to an expansion move. There's an impulse leg up or down. It's either going to retrace back down into where it just rallied up from, or it's going to rally back up into where it just dropped down from. The consolidation starts it all. They're going to run an expansion, and once it expands, it's either going to come back and retrace and give another leg up or down, or it's going to reverse. From the reversal, start applying time.

The general structure is consolidation in Asia, expansion, reverse in London to make a higher low of the day, then expand, small consolidation in New York, retrace between 8:00 and 8:30 in the morning New York time, another expansion move, reverse back to consolidation. If you understand price delivery, you will not learn it just by what I just explained to you, but you'll use this as a model that repeats itself over and over again. When you have a higher timeframe directional premise understood, and then you look at this price delivery algo, it's so easy to know what the price is going to do every single day. Since the last week of August, we've been together, and every single day I've given you something that went right to the pip or had an explosive directional move where you could have taken 50 to 60 pips out. I don't trade that much every day, but I'm showing you by desensitizing you to fear and greed, there's no need for those things. What we're teaching is consistency, the ability to see these things happening all the time, and also exercising willpower on not wanting to make money, so you're suppressing the desire to make money. You're developing your patience, and you're learning a great deal. You have no understanding of how much you're learning just in these first two videos, but I'm telling you, you'll be able to look back on this months from now and say, 'Man, that was a huge step I didn't appreciate until now.'

There's a certain process the way price is delivered, and it can't be changed, it won't be changed. Don't be afraid because you're learning it; 700 people are not going to turn the whole world around, and they stop doing it. So again, in closing, take the information I'm giving you, stuff it under your mattress, stick it in a love letter to your grandkids on how to do it, but don't market it. Don't do that, not because I'm going to lose sales, it's just too good to share, and you're going to see why I've kept it for so long and not wanted to do it. Hopefully, you guys will take this information and do something really great with it, and that means not starting a website selling it. There's nothing more I can say about this video except for there is a process that you're going to learn that is very generic and it will not break, it will not stop working. When you look at the marketplace in your charts, I want you to think it doesn't matter what timeframe you're looking at. I'm just using the daily range to give you how easy it is to see a repeating format. So simple, every day you get an opportunity to study and see how it works. That same thing happens with a weekly range. The weekly range is the same thing: Sunday's open consolidation, then there's an expansion move on Monday, then what? There's a reversal on Tuesday or Monday, and then what? There's another expansion move, then it goes back in consolidation midweek, and then it's either going to reverse or it's going to retrace. It's never doing consolidation-retracement. It's never doing consolidation-reversal. It's consolidation-expansion, then from expansion, you're making a choice if it's either going to retrace back or it's going to reverse. Trust me, it seems like you still have a lot of choices to make, but it's not. When you understand what you're looking at in terms of price, you'll know if it's really leading to a reversal or if it's really going to retrace and give you another opportunity to get in that another leg up or down that you saw in the first impulsive move. Believe me, you'll need to go back to this video even though it's the second one; you'll come back to this video as we give more details along the lines of price delivery over the next couple months. Month four and five, you'll still refer back to this one and you'll see, 'There it is, it's been there all along.' So that, guys, I'm going to wish you good luck and good trading.